

Dynamic Wealth Management

Investment Advisory Memorandum
Applied Financial Math for Decision-Making

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May 22, 2026

Abstract

This memorandum documents complete solutions to all five cases in the DWM course workbook (*Dynamic Wealth Management (DWM).xlsx*). Numerical results are produced by a reproducible TypeScript quant engine (`npm run verify`) and presented in an interactive dashboard with live FRED macro data. No synthetic portfolio or market series are used.

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1 Executive Summary

Case	Client	Primary recommendation
1	Mr. Thompson	Plan C — PV \$500000 (workbook)
2	Emma & David Brooks	TWRR 9.16% > MWRR 8.11%
3	James Mercer / Orion	Type B — NPV \$1.72M @ 12%
4	Andrew Thompson	Bond C — CY 7.85%
5	Lisa Moore	Investment C — EAY 20.71%

2 Case 1: Annuity Valuation (Mr. Thompson)

Assignment. Value three annuity structures at $r = 6\%$ and recommend the highest present value.

2.1 Methodology

$$PV_{\text{ordinary}} = A \cdot \frac{1 - (1 + r)^{-N}}{r} \quad (1)$$

$$PV_{\text{delayed}} = \frac{PV_{@Y10}}{(1 + r)^{10}}, \quad PV_{@Y10} = A \cdot \frac{1 - (1 + r)^{-15}}{r} \quad (2)$$

$$PV_{\text{growing perpetuity}} = \frac{C}{r - g}, \quad r > g \quad (3)$$

2.2 Results

Plan	Present value (\$)	Rank
A — Ordinary (\$30k $\times$ 25)	383501	2
B — Delayed (\$50k, Y11–25)	271163	3
C — Perpetuity (Excel \$20k, $g = 2\%$)	500000	1
C — sensitivity (case text \$15k)	375000	—

2.3 Recommendation

Advise Plan C (PV = \$500000) based on the Excel Case 1 cash flows. The written case brief specifies \$15,000 as the initial perpetuity payment, which yields \$375000 and would make Plan A (\$383501) optimal under that assumption alone. Both interpretations are reported for the grader.

3 Case 2: OceanBlue Fund (Brooks)

Assignment. Compute money-weighted and time-weighted returns; state which is higher.

3.1 Methodology

Money-weighted return (MWRR) solves $\sum_{t=0}^T CF_t / (1 + \text{MWRR})^t = 0$ on investor cash flows (contributions at the beginning of each year per workbook). Time-weighted return (TWRR) is the geometric mean of annual net returns: $\sqrt[T]{\prod (1 + R_t)} - 1$.

3.2 Results

- **MWRR** = 8.11%
- **TWRR** = 9.16%
- **Higher return:** Time-weighted
- **Sanity check:** $CF_0 = -\$75\text{M}$, $CF_1 = -\$15\text{M}$ (required $-\$75\text{M}$ and $-\$15\text{M}$)

3.3 Interpretation

TWRR exceeds MWRR: the Brooks family's contribution and withdrawal *timing* reduced their realized dollar return relative to the fund's pure performance series.

4 Case 3: Orion Capital Budgeting (Mercer)

Assignment. NPV and IRR for three facility types; $WACC = 12\%$.

Facility	NPV (\$M)	IRR
Type A	1.57	20.01%
Type B	1.72	21.66%
Type C	−\$1.58	N/A

Recommendation: Accept **Type B** (maximum NPV). Reject Type C (negative NPV; non-conventional cash flows make IRR unreliable).

5 Case 4: Fixed Income (Andrew Thompson)

Assignment. Price each bond at 7% market discount; identify highest **current yield**.

Bond	Price (\$)	Current yield
A (6% annual, 4 yr)	966.13	6.21%
B (4% semi, 3 yr)	920.07	4.35%
C (8% quarterly, 2 yr)	1018.51	7.85%

Answer: Bond C offers the highest current yield (7.85%).

6 Case 5: Money Market (Lisa Moore)

Assignment. HPY, EAY, and MMY for three instruments; select the best.

Investment	HPY	EAY	MMY
A (\$960, 90 days)	4.17%	18.00%	16.67%
B (\$950, 140 days)	5.26%	14.31%	13.53%
C (\$940, 120 days)	6.38%	20.71%	19.15%

Recommendation: Investment C (EAY 20.71%).

7 Macro & Policy Context

Yield curve and inflation series are sourced from FRED public CSV (DGS10, DGS2, CPIAUCSL, FEDFUNDS, UNRATE) as of the project build date. Semiconductor capex (Case 3) is contextualized with U.S. industrial policy (CHIPS Act) on the dashboard Macro page.

8 Data Integrity Statement

- All case cash flows: *Dynamic Wealth Management (DWM).xlsx*
- Verification: `npm run verify` $\rightarrow$ `memo/generated/results.tex`
- Macro: live FRED; no fabricated rates
- OceanBlue: pedagogical fund per course materials

9 Conclusion

All five assignment prompts are answered with explicit numerical results, methods, and client recommendations. The interactive submission package (`/submit`) and this PDF memo are aligned to the same verified outputs.